02 Strategic Review

Savola's transformation marks a determined shift toward a more focused business platform, supported by disciplined capital allocation, operational efficiency and a commitment to profitable, sustainable growth.

Chairman's Statement

From Investment Holding Company to Strategic Operator

A new era of focused growth

The year 2025 marked a defining chapter in Savola's long and proud history.

Sulaiman A. K. Al-Muhaidib
Chairman

It was a year in which we laid a stronger, more deliberate foundation for the next phase of the Group's evolution. As we reflect on the year, the story of 2025 is one of disciplined shift toward an operating-led growth model, strategic clarity and a deepened commitment to Savola's role as a national and regional food champion serving millions of consumers across our markets. Throughout the year, Savola continued to strengthen its position as a leading integrated food platform. We sharpened our strategic focus, reinforced the resilience of our operations and took decisive actions to rebalance our portfolio in pursuit of sustainable, long-term value creation. This included internal restructuring as well as the strategic exit from a number of underperforming value-added operations. Such actions reflect a Group that is not merely responding to a changing macro environment, but one that is actively repositioning itself as a strategic operator with purpose, conviction and discipline.

Strategic Evolution for Sustainable Growth

2025 was a pivotal year in advancing Savola's strategic transformation. Building on the decisive steps taken in 2024, the Group continued its transition toward a more integrated food operating holding company. This evolution is designed to unlock intrinsic value across the portfolio through operational and financial levers, provide strategic clarity to each business and ensure Savola remains aligned with the evolving needs of consumers, partners and markets.

Our refined strategic direction centers on strengthening our core food platforms, including manufacturing, food retail and food service, all of which play a critical role in regional food security. At the same time, the Group is building flexibility to selectively pursue higher-margin adjacencies within priority geographies, investing where we see durable competitive advantage and rationalizing exposure where structural constraints limit long-term value creation. This strategic evolution is deliberate and multi-staged. While it will continue to unfold over several years, the foundations were firmly established during 2025 through sharper capital allocation discipline and a more focused operating model along with organizational alignment that positions the Group for the next chapter of growth.

Supporting Saudi Arabia's Vision 2030 and National Food Security

As a Saudi-born company with deep roots in the Kingdom, Savola views its success as closely linked to Saudi Arabia's long-term prosperity and resilience. In 2025, we continued to play an active role in supporting Vision 2030, particularly in strengthening domestic food security and supply chain continuity.

Through continued investment in oil refining capacity, sugar operations, manufacturing efficiency and distribution capabilities, Savola contributed to reinforcing the availability of essential food products across the Kingdom. Our commitment to responsible sourcing, sustainable manufacturing and nationwide retail access through Panda supermarkets and other channels remained central to serving households across all regions. These efforts reflect Savola's long-standing role as a trusted partner in the Kingdom's economic transformation and food resilience agenda.

Focused Geographic Footprint and Disciplined Portfolio Reshaping

During the year, Savola continued to apply a disciplined approach to its geographic footprint. Consistent with our refined strategy, we selectively exited markets where scale limitations or structural challenges constrained long-term potential, while reinforcing our presence in geographies with strong fundamentals and strategic relevance.

This portfolio reshaping was undertaken in alignment with our strategic priorities. It reflects our commitment to deploy capital responsibly, focus on markets where Savola can compete effectively and ensure that each component of the portfolio contributes meaningfully to sustainable shareholder value.

Chairman's Statement (continued)

Financial Performance and Capital Discipline in 2025

In a year marked by global and regional uncertainty, Savola delivered a stable and resilient financial performance, reflecting the strength of our core food platforms and the benefits of disciplined execution. Improved efficiency across Savola Foods, along with continued progress in strengthening Panda's competitiveness and customer value proposition, supported stable earnings and solid cash generation.

The Group maintained a strong financial position in 2025, underpinned by prudent capital allocation and disciplined balance sheet management. Investment during the year was focused on reinforcing core manufacturing and distribution capabilities that support long-term food security and sustainable growth. This approach has preserved Savola's financial flexibility and positions the Group well to navigate volatility while continuing to create long-term value for shareholders.

Market Dynamics and Implications for our Outlook

The operating environment in 2025 was shaped by ongoing commodity volatility, inflationary pressures and shifts in global trade flows influenced by geopolitical developments. These conditions reinforced the importance of the strategic changes we have undertaken.

By strengthening our core food platforms, enhancing supply chain control and operating as a more integrated food group, Savola is better positioned to manage volatility and capture emerging opportunities across the Middle East and North Africa. These dynamics continue to validate the long-term relevance of our strategic direction.

Robust Corporate Governance and Board Oversight

In 2025, governance continued to evolve in line with Savola's refined operating model and updated its corporate governance framework and authority matrix to reflect its strategic evolution, while maintaining adherence to high international standards.

The Board remained actively engaged throughout the year, providing oversight and guidance as Savola progressed through its transformation. We continue to view strong governance, transparency and accountability as essential enablers of sustainable value creation. In December 2025, Savola Group was recognized by Alfaisal University for its outstanding corporate governance practices, underscoring the effectiveness of its governance system and its strong standards of oversight, transparency and accountability as key enablers of sustainable value creation.

Outlook for 2026

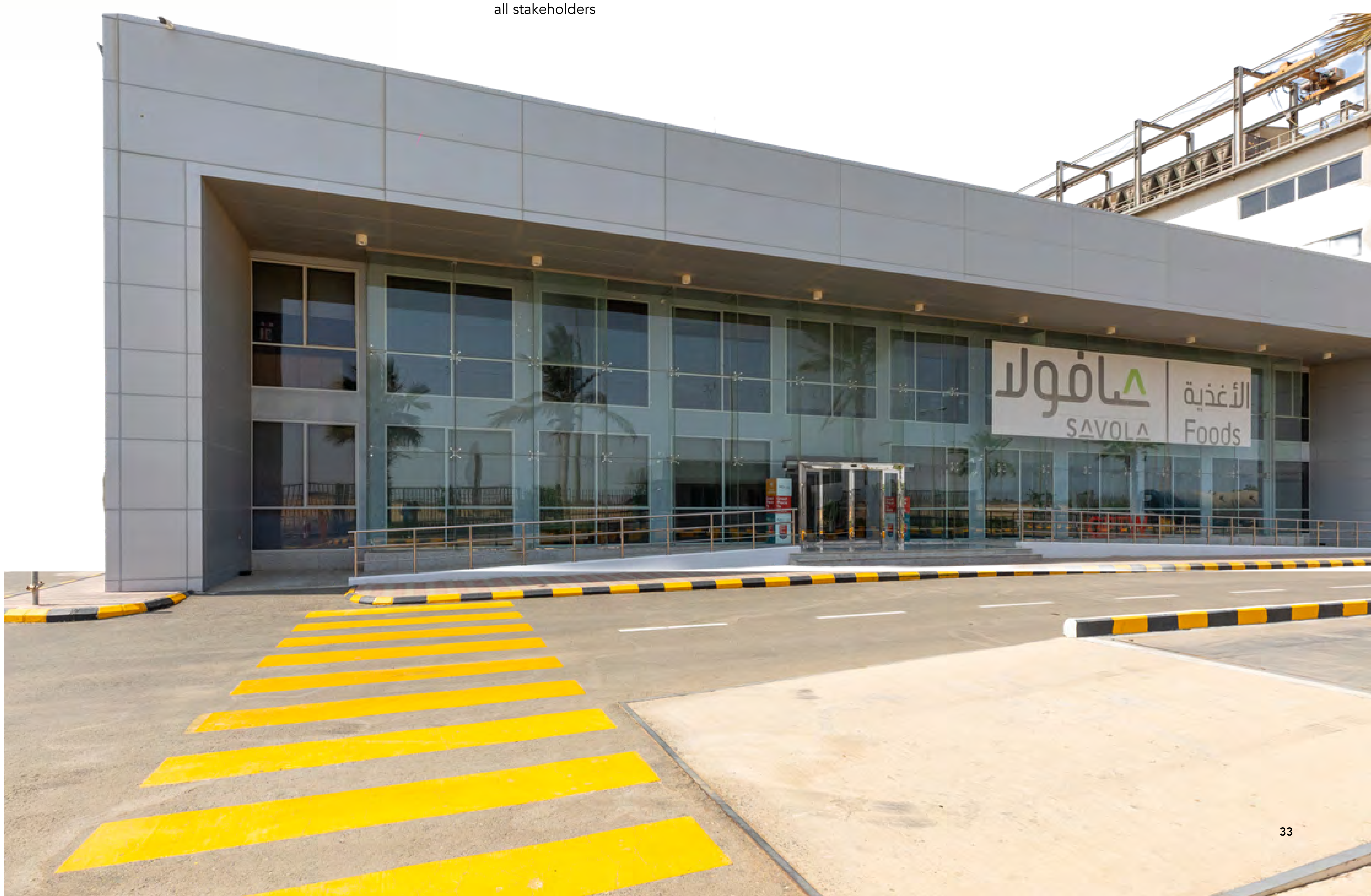
As we look ahead to 2026, Savola enters a year of execution and acceleration. The Group's priorities are well defined and focused on translating ambition into measurable outcomes. Our agenda centers on deepening integration and value creation across core food platforms, advancing selective partnerships and growth opportunities identified in prior years, strengthening Panda's competitiveness and profitability, continuing to simplify and improve efficiency across the Group structure and ensuring disciplined capital deployment to enhance shareholder returns.

Closing acknowledgment

In closing, I extend my sincere appreciation to our shareholders for their continued trust, to my fellow Board members for their guidance, to our management teams and more than 15,000 employees whose dedication drives Savola forward each day. I also express our sincere thanks and appreciation to the Custodian of the Two Holy Mosques, King Salman bin Abdulaziz Al Saud, and to His Royal Highness the Crown Prince, Prince Mohammed bin Salman—may God protect them—for their unwavering support and tireless efforts to advance all sectors. We also thank our wise Government, government partners, and regulators for their continued support of the private sector and the food industry.

Above all, we are grateful to the millions of customers who have placed their trust in Savola for more than 4 decades. As we enter our next phase of growth, we remain firmly committed to earning that trust by building a stronger, more focused and more competitive Savola that is positioned to create enduring value for all stakeholders

The transformation is progressing with clarity and momentum. The foundation is stronger, and the path forward is defined.



Group CEO's Message

Executing with Clarity and Conviction

2025 will be remembered as a year where Savola moved decisively from intent to operating execution.

Sameh Hassan
Group CEO

Having evolved our strategic direction and operating model, the focus of the past 12 months has been on translating that clarity into operating disciplined delivery across the Group. This shift was visible in how we allocated capital, how we ran our businesses and how we strengthened the foundations required for sustainable performance.

Across manufacturing, retail and food services, we operated with sharper priorities, deeper accountability and a stronger emphasis on performance quality. This year's results reflected the value of focus, resilience and operational discipline in a complex and fast-changing environment. As a leadership team, our priority was to ensure that strategy was not only well defined but consistently executed across the organization.

The Defining Story of the Year

The defining story of 2025 was Savola's continued evolution into a more focused, strategic operating food group. Following the strategic decisions and portfolio refinements in previous years, the emphasis this year was on embedding the new model, strengthening operating performance and building momentum across our core platforms.

This translated into more disciplined capital deployment, aligned operational control and improved coordination across businesses. The Group operated with a well-defined understanding of where it competes best, where it creates the most value and how its integrated manufacturing, retail and food services platform can deliver scale advantages across the value chain in core categories and advantaged geographies.

Equally important was the strengthening of organizational capability. Leadership depth, technical expertise and work cultural alignment were reinforced to ensure the Group is not only better positioned for today's environment, but also structurally prepared for the years ahead. 2025 was therefore not a year of headline change, but one of consolidation, execution and readiness.

Financial Performance Anchored in Operating Discipline

Savola delivered a resilient and stable financial performance in 2025, underpinned by disciplined execution across the Group and a continued focus on efficiency, margin quality and cash generation. Despite ongoing macroeconomic volatility, the Group maintained stability through tighter cost control, improved operating leverage and more selective capital allocation.

For the year ended 2025, the Group generated revenues of ⃁ 26.1 billion and EBITDA of ⃁ 2.4 billion, excluding the impact of discontinued and divested businesses, reflecting improved performance across its core operations. Net income reached ⃁ 874 million, supported by stronger operating fundamentals and disciplined financial management. Operating cash flow amounted to ⃁ 1.07 billion, reinforcing the Group's capacity to fund growth, meet its obligations, and maintain a robust balance sheet.

Capital expenditure of ⃁ 858.5 million was directed primarily toward strengthening core manufacturing capacity, operational resilience and critical infrastructure across food manufacturing and retail. Balance sheet management remained prudent, with leverage and liquidity maintained at appropriate levels. This financial discipline continues to be a central pillar of how we protect downside risk while retaining flexibility to invest in long-term value creation.

Operational Performance Across the Group

Savola Foods delivered a solid operational year, supported by improved execution discipline, efficiency initiatives and a sharper portfolio focus. Manufacturing operations benefited from enhanced planning, better asset utilization and continued investment in production and quality systems. These efforts strengthened reliability, reduced waste and improved service levels across key categories.

The business also progressed in reinforcing its role in food security and supply chain continuity. Local manufacturing scale, improved sourcing discipline and optimized distribution networks allowed Savola Foods to serve core markets more effectively while managing cost pressures. Execution quality improved across operations, supporting margin stability and operational resilience. Panda continued its journey of operational strengthening and competitive repositioning. The focus during the year was on improving store economics, enhancing customer experience and leveraging technology to support omnichannel growth. Operational efficiency initiatives, combined with better assortment management, digital enablement and successful new store openings, contributed to improved performance and customer engagement.

Across the wider Group, resource allocation discipline remained central. Resources were directed toward markets and platforms with clear strategic relevance, scale advantages and sustainable return potential. This

Group CEO's Message (continued)

operating discipline ensured that management attention and capital were aligned with long-term value creation priorities.

Technology and Innovation as Execution Enablers

Technology played an increasingly important role in strengthening execution quality across Savola in 2025. Rather than pursuing technology for its own sake, the focus was on deploying digital tools and data capabilities that directly support operational effectiveness, customer experience and decision-making.

In retail, Panda advanced the use of AI-enabled customer engagement, automated fulfillment, advanced CRM platforms and real-time inventory systems. These capabilities supported improved service levels, faster response to demand patterns and more efficient operations across physical and digital channels.

Within manufacturing and supply-chain operations, enhanced planning systems and data integration improved forecasting accuracy, production scheduling and execution discipline. These investments strengthened resilience and reduced operational friction across complex, multi-market networks.

At the Group level, enterprise platforms continued to be upgraded to support governance, performance management and scalability. Technology is increasingly embedded as a core enabler of Savola's operating model, supporting efficiency, transparency and long-term competitiveness.

People and Culture as Foundations for Performance

Savola's performance in 2025 was underpinned by continued investment in people, leadership and culture. As the organization evolves, building the right capabilities and reinforcing shared values remain essential to sustaining execution quality.

Leadership development, technical training and capability building initiatives were advanced across the Group to ensure that teams are equipped to function in an operating performance-driven environment. Particular emphasis was placed on developing middle and senior leadership capacity, strengthening succession pipelines and reinforcing accountability at all levels.

Culture activation also progressed during the year. Rather than introducing new frameworks, the focus was on embedding behaviors that support ownership, collaboration and disciplined execution. Engagement initiatives, recognition programs and leadership communication reinforced alignment with the Group's values and performance expectations.

These efforts contributed to a more resilient, aligned organization, capable of executing strategy consistently while adapting to change.

Esg and Sustainability as Long-Term Enablers

Sustainability remains integral to Savola's strategy and to the way we operate in. In 2025, we delivered meaningful progress across our ESG priorities, achieving measurable improvements in emissions intensity, energy efficiency, waste reduction and water optimization across our manufacturing operations. We also strengthened traceability and responsibility for sourcing key commodities, ensuring greater transparency and resilience across our value chain. At the same time, through Savola World Foundation, we expanded our societal impact by advancing social inclusion and economic empowerment.

This commitment translated into tangible results. Savola Foods delivered a 16.3% reduction in greenhouse gas emissions intensity, supported by efficiency initiatives that also generated ⃁ 104 million in net cost savings, while material losses markedly declined, advancing more circular and resource-efficient operations. Our social impact efforts continued to advance through strong partnerships, enabling the redistribution of food valued at over ⃁ 17 million during the Hajj season, delivering community programs to more than 16,700 beneficiaries and allocating a ⃁ 5 million financing portfolio in partnership with the Social Development Bank to support SME development. Together, these achievements underscore Savola's commitment to responsible growth, environmental stewardship and long-term societal value. These efforts reinforce our commitment to responsible growth, environmental stewardship and positive societal impact.

Looking Ahead with Confidence

As we look towards 2026, Savola enters the next phase of its journey with clarity and momentum with operating discipline at its core. The priorities ahead are centered on execution, value creation and selective growth. We will continue to deepen integration across our food platforms, enhance operational efficiency and strengthen competitiveness across manufacturing and retail.

Investment discipline will remain central. Capital will be deployed selectively toward opportunities that enhance scale, capability and long-term returns, while maintaining financial flexibility and balance sheet strength aligned with our priority geographies and categories. Technology and data will continue to be leveraged as enablers of smarter operations and better customer outcomes.

Equally, we will continue to invest in our people and culture to ensure that Savola remains agile, accountable and performance driven. The foundation built over recent years provides confidence that the Group is well positioned to deliver sustainable value in an evolving market landscape.

Acknowledgments

I would like to thank our Board of Directors for their guidance and oversight throughout the year, and our leadership teams for their commitment and execution. I am deeply appreciative of the dedication of our employees across all markets, whose professionalism and resilience continue to drive Savola forward.

I also extend my thanks to our shareholders, partners, customers and government stakeholders for their continued trust and support. With a clearer focus, a stronger foundation and a disciplined approach to execution, Savola moves forward with confidence into the next stage of its growth journey.

Strategy and Business Model

A Focused Model that aims for Sustainable Growth

Savola's business model and strategy are built around focused investment in food and retail. We allocate capital selectively, set clear strategic and financial targets for our portfolio companies and actively monitor performance within a robust governance framework.

Our Strengths

Strategic Focus

Savola focuses its investments through a long-term consumer trend-driven lens with a particular emphasis on the food and retail sectors. The Group strategically allocates capital to capitalize on evolving market dynamics, consumer preferences and emerging trends, aiming to generate sustained value growth in these key industries.

Strong Governance Framework

A robust governance and transparency framework, prioritized throughout Savola's history and values, building shareholder trust.

Infrastructure and Consumer Access

Through our holdings, Savola touches millions of consumers across the MENAT region through its multi-country operations, strong consumer brand portfolio and its retail network in Saudi Arabia.

Our Challenges

Challenging macro-environment whereas a number of countries introduced economic reforms that may have a negative impact on the purchasing power of consumers and overall global cost inflation.

Change in consumer behavior where consumer preferences and tastes may change in a more pronounced manner that may impact current products and business models.

Limited number of transactable assets from the perspective of an investment holding whose key directive is to allocate capital.

High relative valuation of food assets, in view of scarcity of sizeable assets that fit strategically with Savola Group's investment mandate, as well as other factors, including the economic and business cycles and their impact on such assets.

By combining disciplined capital deployment with long-term consumer trend analysis, we grow our share of consumer spending and create sustainable value for shareholders.

How We Add Value

Leadership and Governance

Savola's focus as a strategic shareholder is to implement best practices across its portfolio to ensure:

- Alignment of incentives among stakeholders
- Selection of the right leaders and management teams to deliver on strategic and operational targets

Setting Targets and Monitoring Performance

Savola has the tools required for effective performance management across its portfolio. This includes both short-term and long-term strategic, operational and financial KPIs, with periodic reviews and a proactive approach that prioritizes the long-term best interest of the business and shareholder value.

Capital Allocation

Savola aims to maximize return on investment by deploying or redeploying capital to enhance shareholder returns and create additional value by gaining access to segments with long-term potential within the food and retail space. The primary objective is to generate sustainable excess returns over the cost of capital.

Long-Term Strategic Planning

Savola believes that in addition to managing our capital and operating companies for performance and long-term sustainability at the subsidiary level, our role is to look at our markets, our holdings and our operations with a view to realize our ambition of maximizing our share of consumer spending across our markets profitably over the long-term horizon.

Our Corporate Values

Our values underpin everything we do; they are a blueprint for concrete actions we take as individuals, as a team and as a company, every day.

Personal Values

Tawado: Confident humility; we accept advice and seek knowledge.

It'qan: Pursuit of perfection; we aim for precision and quality.

Azm: Fierce resolve; the power of will.

Iq'tida: Apprenticeship; in search of those who lead the path.

Team Values

Ihsan Al-Dhan: Trusting; trust and goodwill in dealing.

Mu'azarah: Caring; we support each other to reach our goals.

Qabool: Acceptance; our difference is a source of strength.

Iq'bal: Approaching; from "I and Them" to "We".

Corporate Values

Taqwa: Conscientiousness; an ethical compass guiding our actions.

Amanah: Honesty; we fulfill promises and build trust.

Mujahadah: Personal control; we strive to develop our abilities.

Birr: Caring Justice; we care for others and leave a lasting impact.

Strategy and Business Model (continued)

SAVOLA GROUP'S TRANSFORMATION JOURNEY: A FOCUSED FOOD GROUP, ALIGNED FOR GROWTH

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Completing our transformation allows us to move forward with clarity and purpose. By aligning our leadership, structure and capital around food as our core business, we are building a stronger, more focused Savola positioned to deliver sustainable growth and long-term value.

Sameh Hassan
Group CEO

A Defining Year of Transformation

2025 marked a pivotal moment in Savola Group's evolution. Following several years of portfolio reshaping and value realization, the Group entered a new phase as a focused, integrated food company with a clear strategic direction and aligned leadership. This transformation reflects a deliberate shift from a diversified investment holding model toward a food focused operating platform designed to deliver sustainable growth, operational excellence and long-term shareholder value.

Why Transformation was Needed

Savola's transformation was driven by the need for sharper focus, stronger execution and clearer capital allocation priorities. With major portfolio actions completed and the Group's balance sheet strengthened, the Board set a clear direction to concentrate resources, leadership and capabilities on food as the core growth engine of the Group, while continuing to manage and unlock value from other non-food assets in a disciplined manner.

2025: a Pivotal Inflection Point

The year represented more than an operational reset. It marked the point at which Savola's strategy, structure and leadership were fully aligned. The Group transitioned into a simpler, more integrated operating model, positioning Food operations at the center of future growth ambitions and reinforcing accountability, speed of decision-making and execution discipline across the organization.

As part of this transformation, Savola announced a planned leadership transition effective 1 July 2025. The appointment of the CEO of Savola Foods as Group Chief Executive Officer ensured continuity while reinforcing strategic focus. This move unified Group and operating leadership under a single executive mandate, aligning day-to-day execution with long-term strategic priorities.

What Changed this Year

Savola Group entered its next chapter with a clearer structure and sharper priorities:

- A food focused operating model as the core platform for growth
- A simplified Group structure, enabling focused execution and stronger alignment
- Continued active management of other assets, focused on disciplined value realization
- A stronger link between strategy, capital allocation, and leadership oversight

Core Food Platform
Food-focused operating model

- **Simplified Group structure**
- **Focused execution and alignment**

Portfolio Optimization

- **Active portfolio management**
- **Disciplined value realization**

Strategy and Business Model (continued)

Transformation Timeline: From Portfolio Reshaping to Focused Growth

"With a clear strategy and aligned leadership, we are entering the next phase of our journey focused on disciplined growth, operational excellence and creating enduring value for our shareholders and stakeholders."

Sameh Hassan
Group CEO

Pre-2024: Portfolio optimization and groundwork for transformation

2024: Capital strengthening and completion of major value-enhancing actions

2025: Leadership alignment and confirmation of food-led strategy

Looking ahead: Scaled, integrated food platform with regional growth ambitions

Looking Ahead with Focus and Confidence

With its transformation foundations in place, Savola Group is positioned to build a scaled, branded and consumer-centric food platform. The Group's focus now shifts to execution, growth and value creation, supported by aligned leadership, a clear operating model and a renewed strategic mandate.

Savola Group Journey
Restoring Greatness, De-Risking Portfolio and Fit for Growth

	Strategic Phase	Net Income (⃁ million)	Key Challenges / Initiatives
2018	Valuation Gap, Operational Complexity and Performance Challenges	Savola Foods: (17) Panda: (917) Group: (520)	• Savola Foods posted ⃁ 17 million loss, the first in its history • Panda losses from Pandati exit, broken balance sheet, and weak store economics • Slower monetization of non-core assets • Acquired controlling stake in Al Kabeer – Frozen Food business • Market trading at a deep discount to intrinsic value

2019-2021	Restoring Greatness	Savola Foods for 2021: 316
		Panda for 2021: (587)
		Group: 222
			• Performance improvement through three key initiatives:
			  • refocus the business
			  • re-base costs
			  • realigning organization
			• Strategic acquisition of UAE market leader in nuts, spices and pulses (NSP) – Bayara
			• Introduction of CXR program in Panda to turn around operations, with further capitalization by the Group
			• Received ⃁ 147 million excess cash repatriation from Kinan

2022-2025	Years of Targeted Strategic and Operational Initiatives	Savola Foods for 2025: 481
		Panda for 2025: 115
		Group for 2025: 874
		Group (normalized): 539
			• Project Sigma:
			  • Optimization of leverage and readiness for future growth
			  • Unlocking the value of core businesses by distributing Almarai shares
			• Exited high-risk markets to de-risk Savola Foods
			• Post-merger restructuring to enhance competitiveness

Saudi Vision 2030

Enabling Vision 2030 Through an Integrated Food Ecosystem

Savola's role in advancing Vision 2030 is anchored in the scale, diversity and integration of its operating model.

As a Saudi-born food group with deep roots in the Kingdom, Savola contributes directly to national priorities spanning food security, industrial development, digital transformation and human capital growth. Its activities support Vision 2030 not through a single channel, but through a coordinated platform that touches manufacturing, retail, food services, logistics and consumer markets at scale, enabling impact across multiple sectors simultaneously.

Savola is differentiated by the breadth and connectivity of its ecosystem. Few regional food groups operate end to end across large-scale food manufacturing, advanced omnichannel retail and consumer-facing food services under one integrated structure. Through Savola Foods and Al Kabeer, the Group strengthens local manufacturing capacity and resilient supply chains. Through Panda, it operates one of the Kingdom's most advanced AI-enabled retail ecosystems, improving affordability, access and productivity. Through Herfy, Savola continues to invest in a Saudi homegrown QSR platform that combines digital innovation with national talent development. This farm-to-factory-to-store-to-consumer model allows Savola to drive economic diversification, technology adoption and workforce development in a coordinated way, reinforcing its position as a multi-sector enabler of Vision 2030 outcome.

Vision 2030 Pillar and Goal	Savola's Strategic Objectives	2025 Achievements
A Thriving Economy Build a globally competitive industrial and manufacturing base	• Expand Saudi-based food manufacturing capacity (Savola Foods) • Localize production of strategic food categories (edible oils, packaged foods) • Invest in advanced production infrastructure and refineries	• Savola Foods completed major CAPEX initiatives including a new factory in Jeddah and refinery overhauls, strengthening domestic food manufacturing capacity and supporting the Vision 2030 goal of localizing non-oil industries. • Total production volumes reached a record 3.74 million metric tons (+8% YoY), reinforcing Saudi Arabia's role as a regional food-production hub and advancing Vision 2030's ambition to grow Saudi-based exports and industrial output.
A Thriving Economy Drive economic diversification through branded consumer industries	• Build strong Saudi-rooted food brands (Savola Foods) • Expand value-added food platforms (frozen, packaged, healthy products)	• Savola Foods strengthened its brand platforms in Saudi Arabia, including Afia's relaunch and expansion into new categories (olive oil, canned tuna, spices, pulses, sugar) building competitive Saudi food brands in line with Vision 2030's ambition, and the supporting local manufacturing and potential exports. • Savola Foods introduced a locally sourced Al Jouf olive oil variant, reinforcing agricultural linkage and local value creation consistent with Vision 2030's rural development and local-content agenda. • Savola's CEO was ranked among Forbes Middle East's "Sustainability Leaders," underscoring the Group's role in advancing Vision 2030's sustainability agenda and positioning Saudi companies as regional ESG champions. • Panda Retail Company was ranked among the top 10 most influential brands in Saudi Arabia and secured 3rd place overall, underscoring Panda's role as a leading Saudi retail brand that strengthens consumer trust, supports modern trade development and advances Vision 2030's goal to drive economic diversification through strong, homegrown branded consumer industries.
A Thriving Economy Advance digital transformation of traditional industries	• Digitize retail and logistics (Panda)	• Panda deployed AI-driven customer agents, advanced CRM, automated fulfillment and real-time inventory systems; e-commerce scaled to ~⃁ 320 million revenue in 2025, contributing to Vision 2030's aspiration to build a leading digital and e-commerce ecosystem in the Kingdom.
A Thriving Economy Improve productivity and industrial efficiency	• Deploy operational excellence programs (Savola Foods) • Optimize supply chain, inventory and production yields	• Savola Foods achieved a 33% reduction in customer complaints, and a 75% YoY decrease in quality incidents (SQIs), reflecting improved industrial quality systems that support Vision 2030's drive for world-class standards in Saudi manufacturing and services.

Saudi Vision 2030 (continued)

Savola is differentiated by the breadth and connectivity of its ecosystem. Few regional food groups operate end to end across large-scale food manufacturing, advanced omnichannel retail and consumer-facing food services under one integrated structure. Through Savola Foods and Al Kabeer, the Group strengthens local manufacturing capacity and resilient supply chains. Through Panda, it operates one of the Kingdom's most advanced AI-enabled retail ecosystems, improving affordability, access and productivity. Through Herfy, Savola continues to invest in a Saudi homegrown QSR platform that combines digital innovation with national talent development. This farm-to-factory-to-store-to-consumer model allows Savola to drive economic diversification, technology adoption and workforce development in a coordinated way, reinforcing its position as a multi-sector enabler of Vision 2030 outcomes.

Total production volumes reached
3.74 MN
metric tons

Vision 2030 Pillar and Goal	Savola's Strategic Objectives	2025 Achievements
A Thriving Economy Develop human capital and industrial skills	• Workforce training in manufacturing and safety (Savola Foods) • Retail and logistics capability building (Panda)	• Savola Foods delivered 3,400+ Health, Safety and Environment (HSE) training sessions and recognized 2,000+ employees across operations, strengthening industrial safety and technical skills in support of Vision 2030's emphasis on a highly skilled, productive national workforce. • Panda expanded digital, logistics and data roles through omnichannel operations growth, creating future-ready jobs and capabilities aligned with Vision 2030's digital economy and human-capital development pillars. • Savola received the Comprehensive Performance and Rewards award from SHRM MENA, highlighting its investment in people, progressive HR practices and talent development in line with Vision 2030's ambition to build a highly skilled, productive and engaged national workforce.
A Thriving Economy Strengthen food security and local supply chains	• Secure long-term domestic production of essential food categories (Savola Foods) • Expand cold-chain and frozen food infrastructure (Al Kabeer) • Vertical integration in fresh categories (Panda)	• Savola Foods expanded local production of edible oils and packaged foods through the Jeddah facility and refinery upgrades, reducing reliance on imports and contributing to Vision 2030 targets on food security, economic resilience and local content. • Al Kabeer operates a Saudi manufacturing facility supported by an extensive cold-chain network, ensuring nationwide frozen food availability and aligning with Vision 2030's focus on reliable food access and modern logistics infrastructure. • Panda increased localized sourcing and vertical integration in bakery, produce and proteins to improve availability and cost stability, directly supporting the objectives of Vision 2030 to develop local supply chains and strengthen the role of Saudi SMEs and farmers.
A Vibrant Society Enhance quality of life and affordability of food	• Maintain affordable access to food (Panda) • Improve nutritional product offerings (Savola Foods)	• Panda achieved market-leading NPS of 94 and highest brand preference, improving everyday food access nationwide, in line with Vision 2030's goal of improving quality of life for citizens and residents. • Savola Foods expanded better-for-you products such as Fitness Sugar and diversified its healthy cooking oil portfolio in Saudi Arabia, directly supporting Vision 2030's "living healthy, being healthy" agenda by enabling healthier daily nutrition choices.
Ambitious Nation Strengthen governance, transparency and ESG disclosure	• Advance corporate governance and risk management (Savola Group) • Enhance ESG disclosure and investor transparency (Savola Group)	• Savola received recognition for excellence in corporate governance from Alfaisal University, reflecting strong transparency, accountability and risk management practices that reinforce Vision 2030's goal of building world-class institutions and a trusted business environment. • Savola achieved second place for Best Sustainability and ESG Report from the Middle East Investor Relations Association, underscoring leading disclosure and investor transparency in line with Vision 2030's focus on robust governance, mature capital markets and responsible private-sector leadership.

Our Markets

Feeding Diverse Markets, Capturing Evolving Demand

Saudi Arabia

The Kingdom's Food Transformation Gathers Pace

Saudi Arabia entered 2025 with stable economic momentum, supported by expanding non-oil activity, ongoing investment in infrastructure and a growing population driven by expatriate inflows. Moderate inflation helped preserve purchasing power, while government-led development programs, tourism and workforce participation – particularly among women – continued to reshape consumption behaviors and spending patterns. These dynamics created a supportive backdrop for sectors linked to everyday living, including food, retail and food service.

Within this environment, the food and retail sector reflect meaningful growth shaped by changing lifestyles, evolving demand patterns and ongoing structural shifts. Increased labor force participation supports more out-of-home consumption and reinforces demand for ready-to-eat, quick-service and delivery-led options.

Consumers are more value-oriented given cost-of-living considerations, yet they continue to upgrade selectively in categories linked to quality, fresh products, and healthier lifestyles. This dual mindset has fueled interest in local products and healthier formats, while still keeping price sensitivity high in mass categories. According to PwC, food prices now matter most to consumers, outranking taste and brand trust, underscoring the need for pricing discipline and targeted value propositions tailored to different customer segments.

Savola operates across some of the region's most dynamic food economies, where consumer expectations, channel shifts and value sensitivity continue to reshape demand. These markets offer distinct opportunities but share common themes around convenience, affordability and digital engagement, creating an environment where scale, agility and execution matter.

Channel dynamics are shifting. Modern trade continues to expand at the expense of traditional outlets, while e-commerce is the fastest growing platform, supported by improved visibility, last-mile efficiency and stronger digital engagement. These behavioral shifts require businesses to adapt assortment, pricing, portfolio relevance and route-to-market execution to capture emerging demand spaces.

UAE

A Digitally Driven Consumer Ecosystem

The UAE maintained favorable conditions for food and retail in 2025, supported by population growth, tourism and rising household spending. Inflation remained low, preserving purchasing power and enabling greater discretionary consumption. Consumers demonstrated strong digital adoption, with high engagement in omnichannel shopping and rapid uptake of convenience formats.

Takeaway and prepared food ordering became routine for many households, while retailers invested heavily in personalization, AI-enabled experiences and mobile-first shopping. Convenience-led channels flourished through dark kitchens, micro-fulfillment centers and delivery models. With food retail expanding and food service growing at double-digit rates, the UAE remained one of the region's most advanced and innovative-led consumption markets.

Egypt

Value-Seeking Behavior Defines Demand

Egypt's food and retail landscape in 2025 was shaped by inflationary pressure and currency dynamics that squeezed purchasing power. Consumers responded by switching to cheaper brands, smaller pack sizes and staples, while imported goods became more expensive and scarce.

Nominal FMCG growth continued, supported by inflation and population expansion, yet real consumption in key categories such as fruits, dairy and proteins are negatively impacted. Food service remained a relatively bright spot, expanding as urban markets and affluent segments sustained demand for out-of-home consumption. Overall, the market favored affordability, localization and efficient pricing to meet constrained household budgets.

Turkey

Inflation Reshapes Consumption and Supply Chains

Turkey's food sector operated under significant inflation and exchange rate pressure, influencing both costs and consumer behavior. Households traded down to staples and lower-priced items, narrowing discretionary spending and slowing volume growth despite elevated nominal market values.

Policy interventions, such as import quotas and tariff adjustments, aimed to stabilize input markets, while export momentum grew in segments like dried fruit, nuts and packaged foods to Gulf and Asian markets. Food service continued to expand, supported by tourism and delivery-led models, although value positioning and cost discipline remained critical as consumers prioritized affordability.

Algeria

Fragmented Retail and Strong Staples Demand

Algeria's food sector in 2025 reflected moderate economic growth but persistent budget constraints, with food spending taking a large share of household income. Retail remained fragmented, dominated by traditional stores, while modern grocery's penetration was limited.

Government policies focused on local supply and import regulation for key staples, reinforcing the role of domestic production. Packaged foods saw steady expansion, particularly in snacks and sauces, while staples such as bread and oils maintained strong demand supported by subsidization. Food service is expected to gain traction through upcoming HoReCa Expos and planned infrastructure development, including fast-casual and café concepts.

Technology and Innovation

Building a Smarter Enterprise Powered by Digital Advantage

Savola Group continues to embed technology and innovation into the heart of its operating model. Our objective is to apply advanced digital capabilities to sharpen competitiveness, elevate execution and build a more resilient and sustainable organization.

By modernizing core platforms, accelerating automation and deepening analytics, we are enabling faster decisions, stronger visibility and smarter ways of working. Through strategic partnerships and a forward-looking roadmap, we are laying foundations for future growth and positioning our business to benefit from national digital priorities including Saudi Vision 2030.

Technology and Innovation Focus

Throughout 2025, we intensified efforts to strengthen operational agility by moving core systems to the cloud and partnering with leading platforms that improve flexibility and scalability. Our modern ERP system became a central enabler, integrating key functions, standardizing processes and providing real-time insight across planning, manufacturing, supply chain and commercial operations. These enhancements boosted demand-forecasting accuracy, accelerated decision-making, and increased frontline responsiveness to shifting market needs.

Automation and analytics were also expanded across workflows, reducing manual effort and empowering teams with better tools and information. As day-to-day decision-making improved, employee productivity increased, while stronger data discipline strengthened the consistency and quality of execution. Together, these investments reinforced our operational backbone and deepened our digital capabilities.

Innovation and Measurable Impact

Our innovation focus translated into tangible operational improvements. Collaborative and integrated innovative technology paved the way for a paperless environment driven by intuitive digital dashboards. Employees gained faster access to performance insights, while automation freed up work hours and reinforced a culture of continuous improvement. In addition, we improved the collaboration with our customers and suppliers through digitized solutions to increase our service level and reach new levels of efficiency.

Data analytics became a differentiator, converting complex operational inputs into actionable intelligence that enhanced agility, accuracy and productivity. These initiatives helped improve quality control by embedding real-time monitoring and traceability. Customer experience also benefited, driven by better service responsiveness, more relevant interaction and faster internal decision cycles.

We leveraged AI to transform critical employee-related, operational and compliance processes – delivering faster cycle times, higher accuracy and improved employee and customer experiences. From talent decisions to policy guidance and document automation, AI enabled smarter workflows and reduced manual effort, creating measurable efficiency gains across the organization.

Tangible operational improvements

Collaborative and integrated innovative technology paved the way for a paperless environment driven by intuitive digital dashboards.

Technology Partnerships Driving Value

Partnerships with technology leaders accelerated this progress and expanded our capability stack. This included our ERP optimization and integrating business systems securely in the cloud, as well as enabling advanced data management and analytics capabilities to make insights faster and more scalable. In addition, key partnerships supported AI enablement, digital collaboration and productivity tools. These strategic relationships strengthened automation programs, advanced our smart factory initiatives and helped drive the culture shift toward digital-first thinking.

Technology and Innovation in 2026

Our forward roadmap focuses on scaling impact and deepening intelligence across operations. Smart factory programs will advance further, with IoT sensors and connected systems enabling real-time monitoring, automated quality management and energy optimization at production sites. We will continue to expand advanced data analytics to transform raw data into decision-grade insight supporting cost visibility, forecasting, customer engagement and sustainability initiatives.

Agentic AI will be further expanded to automate routine tasks, enhance collaboration and unlock intelligent recommendations that improve working methods and speed. As these capabilities expand, we expect a stronger workforce productivity, better customer experience and greater operational resilience.
Our priorities for the year include accelerating automation, deepening analytics maturity and enabling smarter, more sustainable operations aligned with national digital development. Through disciplined execution, we are continuing our transformation into a data-driven organization capable of delivering scalable value across the value chain.

CFO's Review

Financial Strength. Focused Execution. Sustainable Value Creation.

Fiscal year 2025 marked the first full year in which Savola operated with a streamlined capital structure and a sharpened strategic focus following the transformational steps completed in the prior year.

Wajid Usman Khan
Group Chief Financial Officer

Our priorities were clear: preserve financial strength, reinforce operating discipline and allocate capital to areas where we have scale, capability and long-term conviction.

Group revenue increased to ⃁ 26.1 billion, reflecting steady performance across both food and retail segments. Net income attributable to shareholders amounted to ⃁ 874 million, compared to ⃁ 9.97 billion in the prior year, which included the one-off gain from the distribution of the Almarai investment. On a normalized basis, adjusted net income rose to ⃁ 539 million from ⃁ 296 million in FY2024, underscoring improvement in underlying operating performance and earnings quality. Operating cash flow remained solid at ⃁ 1.07 billion, supporting continued investment in core operations while maintaining balance sheet discipline.

Strengthened Financial Position

The capital restructuring executed in the prior year materially reshaped the Group's financial foundation. During 2025, our focus was to consolidate these gains and embed financial discipline across the organization.

Total equity increased to ⃁ 6.47 billion at year-end. Borrowings declined significantly compared to historical levels. After deducting term deposits and investments in government Sukuk, net debt reflects a strengthened and manageable leverage aligned with the Group's long-term risk parameters.

Debt maturities are appropriately staggered, liquidity buffers remain sound and financial flexibility is materially stronger than in previous years.

Our capital allocation principles remain firmly anchored:

- Preserve balance sheet resilience
- Prioritize investment in core platforms
- Apply disciplined return thresholds
- Maintain flexibility through cycles

These principles guide funding, investment and portfolio decisions across the Group.

Food

Savola Foods Company operated in a year characterized by commodity price volatility and evolving global trade dynamics. Emphasis remained on procurement discipline, cost efficiency and operational consistency.

Core markets (Arabia and Egypt) continued to anchor performance, while higher-value categories contributed to improved portfolio balance. On a like-for-like basis, food volumes demonstrated resilience, supported by disciplined pricing and supply chain execution. Our approach remains centered on structural efficiency and sustainable margin stability rather than short-term expansion.

Retail

Panda Retail Company delivered revenue growth of 6.6% to ⃁ 11.3 billion, supported by measured store expansion and continued execution of the CXR program.

18 new stores were added during the year, net of closures, extending geographic reach while strengthening operational standards and customer engagement. Ongoing investment in digital capabilities further enhanced omni-channel positioning in a competitive market environment.

While competitive pricing pressures impacted margins, disciplined cost management and working capital oversight remained central priorities.

Turkey Strategic Repositioning

During the year, our edible oils business in Turkey was merged with a leading integrated agribusiness player, resulting in a 15% equity stake in the enlarged entity. The transaction was completed without cash outflow and resulted in a net gain of ⃁ 33.9 million.

This repositioning enhances capital efficiency, reduces stand-alone exposure to market volatility, and preserves participation in a structurally stronger and more integrated platform.

Risk Management and Financial Stewardship

Savola operates within a structured governance framework aligned with applicable regulatory requirements. Risk oversight, internal controls and disciplined financial management remain embedded across the organization.

We remain attentive to commodity movements, currency fluctuations and competitive dynamics, while applying balanced judgment in all material financial decisions.

Looking Ahead

Savola moves forward as a focused food and retail platform supported by a strengthened capital structure and clearer strategic alignment.

Our priorities remain consistent:

- Deepen our presence in core food categories
- Enhance operational efficiency across retail
- Preserve balance sheet strength
- Evaluate opportunities under disciplined return criteria

Savola enters its next phase with strengthened financial foundations, disciplined capital allocation and a focused operating mandate designed to deliver sustainable shareholder value over time.

Risk Management

Safeguarding Performance, Empowering Progress

Savola applies a disciplined, forward-looking approach to risk so we can grow with confidence and protect the interests of all stakeholders. Our risk management practices are designed to anticipate change, strengthen resilience and support informed decision-making across the Group.

By embedding strong governance, clear accountability and a standard risk culture, we ensure that risks are identified early, assessed rigorously and managed consistently across every part of our business. This helps us maintain stability in dynamic markets, protect our operations and reputation and create the foundation we need to pursue our strategic objectives with clarity and conviction.

The Group, like any other economic entity, may be affected by risks through the nature of its commercial activities in basic food commodities, retail and other investments. These risks may be summarized as follows:

- Operational, financial, strategic, regulatory and compliance risks.
- The possibility of the Group operations being exposed to geopolitical risks that result from its operations outside the Kingdom.
- Risk of volatile raw material costs and commodity price fluctuations affecting the global and local markets where it operates.
- Risk of geographic expansion and competition pertaining to new markets in the region.
- Fluctuations in foreign currency exchange rates, particularly against the Saudi Riyal, or other currencies in the countries where the Group operates.
- Inflation in the economies of countries where the Group operates.
- Risks related to new investments.
- Any emerging risks that the Group may be exposed to during its operations.

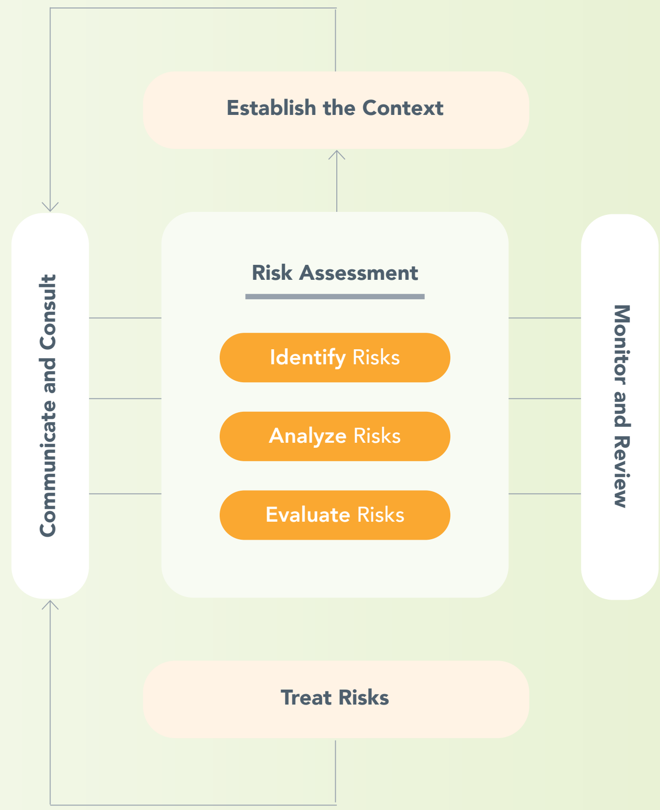
The Group manages risks through a coordinated governance structure involving the Board of Directors, the Audit Committee, Executive Management and specialized departments and task forces across the organization. This structure facilitates embedding risk-related activities within the core business functions.

Savola is dedicated to preserving stakeholder value and corporate reputation by advancing its risk culture through rigorous governance and continuous professional development.

Enterprise Risk Management Framework

In line with the market's best practices Savola has an integrated Enterprise Risk Management (ERM) framework to support the success of the business and achievement of its strategic goals through a collaborative risk management environment that proactively identifies, monitors and mitigates risks. The framework has been developed in line with current leading ERM practices and ISO 31000.

In developing the ERM framework, the focus was to design a process that addresses Savola's business needs while remaining simple and pragmatic. Savola's ERM framework outlines the series of activities that Savola uses in identifying, assessing and managing its risks. The framework ensures risk is being managed through a common set of processes at Savola, which enables the flow of risk information to the person with authority and responsibility for making decisions pertaining to the activity associated with the risk. By establishing a common language and set of tools, Savola's risk management process can be replicated at any level within the Group.



In line with the continuous efforts to strengthen risk management culture and capabilities, Savola has:

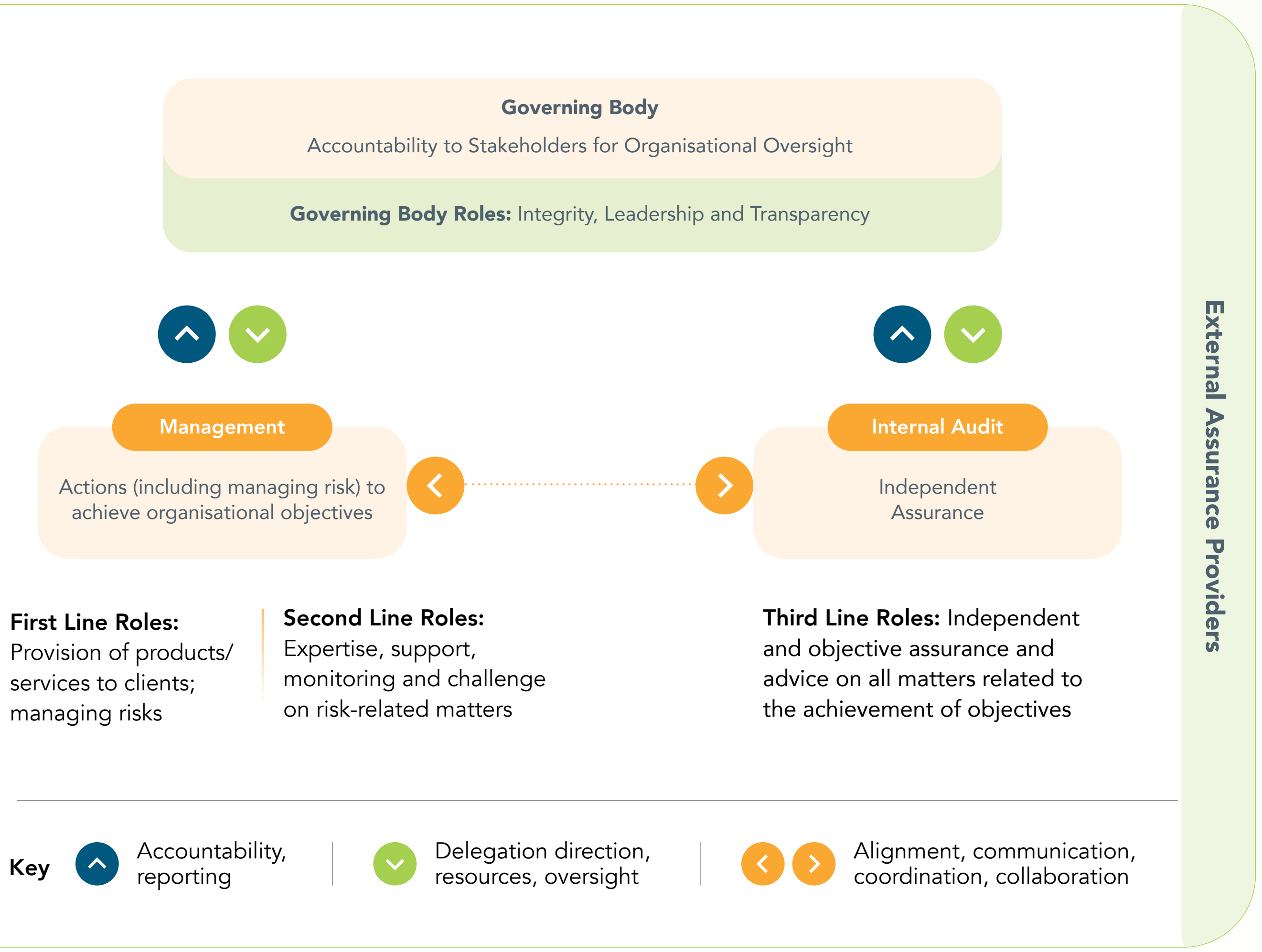
- Established a risk management function reinforced by functional Risk Champions who drive implementation and monitoring across key business areas, facilitating coordination and risk oversight.
- Set an ERM framework and governance policy, approved by the Board of Directors.
- Proactively identifying emerging external risks and communicating them with the relative functions for assessment and mitigation actions.
- Implemented a Governance, Risk and Compliance (GRC) system to enhance managing risk assessments, registers, management issues, key risk indicators, policy management and internal audit at Savola Group and its main subsidiaries.
- Developed a risk appetite framework.
- Set the Group's risk appetite statement, approved by the Board of Directors.
- Developed key risk indicators (KRIs).
- A Group Steering Committee was formed to strengthen governance, risk and compliance framework by:
  - o Challenging strategic business decisions and risk assessments
  - o Monitoring risk exposure and offering actionable insights on emerging threats
  - o Advising the Board on critical risk and business matters

Risk Management (continued)

Three Lines Model

Savola operates a "Three Lines Model" to ensure accountability across the Group for governance, monitoring, reporting and management of risks, and the control environment.

Each of the Three Lines plays a distinct role within Savola's wider governance framework. The Board, management and internal auditors are the primary stakeholders served by the Three Lines Model, and they are the parties best positioned to ensure the Three Lines Model is reflected in Savola's risk management and internal control processes.



Managing Risk with Financial Instruments

The Group's overall risk management program focuses on the unpredictability of financial markets and seeks to minimize potential adverse effects on the Group's financial performance. The Group uses derivative financial instruments to hedge certain risk exposures.

Financial instruments carried on the consolidated statement of financial position include cash and cash equivalents, term deposits, trade and other receivables, investments measured at fair value, loans and borrowings, lease liabilities, derivatives, trade payables and accrued and other current liabilities. The particular recognition methods adapted are disclosed in the individual policy statements associated with each item.

Financial asset and liability is offset and net amounts reported in the financial statements, when the Group has a legally enforceable right to set off the recognized amounts and intends either to settle on a net basis, or to realize the asset and liability simultaneously.

Market Risk

Market risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risk comprises More than 3 of risks:

Interest Rate Risk

Interest rate risks are the exposures to various risks associated with the effect of fluctuations in the prevailing interest rates on the Group's financial positions and cash flows.

The Group's interest rate risks arise mainly from its borrowings and short-term deposits, which are at floating rate of interest and are subject to re-pricing on a regular basis and for which the management closely monitors the changes in interest rates.

Currency Risk

Currency risk is the risk that the value of a financial instrument will fluctuate due to changes in foreign exchange rates for its transactions principally in Saudi Riyals, US Dollars, Egyptian Pounds, United Arab Emirates Dirhams, Sudanese Pounds and Turkish Lira.

The Group operates internationally and is exposed to foreign exchange risk, including currency translation risk arising from its investments in foreign subsidiaries and associates whose net assets are denominated in foreign currencies. Currently, such exposures are mainly related to exchange rate movements between foreign currencies against, Egyptian Pounds, Sudanese Pounds and Turkish Lira. Such fluctuations are recorded as a separate component of equity "Foreign Currency Translation Reserve" in the accompanying consolidated financial statements. The Group's management monitors such fluctuations and manages its effect on the consolidated financial statements accordingly.

Generally, borrowings are denominated in currencies that match the cash flows generated by the underlying operations of the Group. In addition, interest on borrowings is denominated in the currency of the borrowings. This provides an economic hedge without derivatives being entered into and therefore hedge accounting is not applied in these circumstances.

Price Risk

Price risk is the risk that the value of a financial instrument fluctuates due to changes in market prices, whether driven by factors specific to the instrument or its issuer, or by broader market movements. The Group is exposed to equity price risk through investments in certain listed equities classified as FVOCI. Management monitors the proportion of equity securities within the investment portfolio against relevant market indices, and these investments are managed individually, with all buy and sell decisions approved by the Investment Committee. In addition, United Sugar Company uses derivative financial instruments, including commodity futures contracts, to hedge raw material price risk in the sugar business.

Details of the Group's investment portfolio exposure to price risk at the reporting date are disclosed in Note 11 to these consolidated financial statements. As of 31 December 2025, the Group's overall exposure to price risk is limited to the fair value of these positions.

Risk Management (continued)

Credit Risk

Credit risk is the risk that one party to a financial instrument will fail to discharge its obligations and cause the other party to incur a financial loss. The Group has no significant concentration of credit risk. To reduce exposure to credit risk, the Group has an approval process whereby credit limits are applied to its customers.

The Group regularly monitors credit exposure to customers by grouping them based on credit characteristics, payment history, customer type (individual or legal entity), segment (wholesale, retail, or manufacturer), geographic location, and any financial or economic difficulties, including industry- and country-related default risk. Based on this assessment, the Group recognizes impairment losses for balances considered doubtful of recovery, and outstanding receivables are monitored on an ongoing basis. To mitigate credit risk from debtors, the Group has also entered into credit insurance arrangements in certain geographies.

Loss rates are calculated using a "roll rate" method based on the probability of a receivable progressing through successive stages of delinquency to write-off. Roll rates are calculated separately for exposures in different segments based on the following common credit risk characteristics – geographic region, age of customer relationship and type of product purchased.

Loss rates are based on historical credit loss experience and are adjusted to reflect differences between economic conditions during the period over which the historical data has been collected, current conditions and the Group's view of economic conditions over the expected lives of the receivables.

i) Other receivables

Impairment on other receivables has been measured on a 12-month expected loss basis and reflects the short maturities of the exposures having low credit risk.

ii) Cash and cash equivalents

Impairment on cash and cash equivalents and term deposits has been measured on a life-time expected loss basis and reflects the short maturities of the exposures. The Group considers that its cash and cash equivalents and term deposits have low credit risk based on the external credit ratings of the counterparties.

Cash and cash equivalents, term deposits and derivative financial instruments include balances which are held with banks with sound credit ratings ranging from (AA) to (B).

Liquidity Risk

Liquidity risk is the risk that an enterprise will encounter difficulty in raising funds to meet commitments associated with financial instruments. Liquidity risk may result from an inability to sell a financial asset quickly at an amount close to its fair value. Liquidity risk is managed by monitoring on a regular basis, that sufficient funds are available through committed credit facilities to meet any future commitments.

The Group's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's reputation. At 31 December 2025, the Group has a net current liability position. For this purpose, the Group has maintained credit lines with various commercial banks in order to meet its liquidity requirements. As at 31 December 2025 , the Group has unused bank financing facilities amounting to ⃁ 5.3 billion (31 December 2024: ⃁ 5.3 billion) to manage the short-term and long-term liquidity requirements.

Fair Value of Assets and Liabilities

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal or, in its absence, the most advantageous market to which the Group has access at that date. The fair value of a liability reflects its non-performance risk.

A number of the Group's accounting policies and disclosures require the measurement of fair values, for both financial and non-financial assets and liabilities. When one is available, the Group measures the fair value of an instrument using the quoted price in an active market for that instrument. A market is regarded as active if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

If there is no quoted price in an active market, then the Group uses valuation techniques that maximize the use of relevant observable inputs and minimize the use of unobservable inputs. The chosen valuation technique incorporates all of the factors that market participants would take into account in pricing a transaction. For further details, the same item can be reviewed in the clarification notes accompanying the Company's consolidated financial statements for 2025.